**S.R. BATLIBOI & ASSOCIATES LLP**
Chartered Accountants

4th Floor, Office 405
World Mark - 2, Asset No. 8
IGI Airport Hospitality District, Aerocity
New Delhi - 110 037, India
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## INDEPENDENT AUDITOR'S REPORT

To the Members of Transrail Logistics Limited

### Report on the Audit of the Ind AS Financial Statements

### Opinion

We have audited the accompanying Ind AS financial statements of Transrail Logistics Limited ("the Company"), which comprise the Balance sheet as at 31 March 2024, the Statement of Profit and Loss, including the statement of Other Comprehensive Income, the Cash Flow Statement and the Statement of Changes in Equity for the year then ended, and notes to the financial statements, including a summary of material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Ind AS financial statements give the information required by the Companies Act, 2013, as amended ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2024, its profit including other comprehensive income, its cash flows and the changes in equity for the year ended on that date.

### Basis for Opinion

We conducted our audit of the Ind AS financial statements in accordance with the Standards on Auditing (SAs), as specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the 'Auditor's Responsibilities for the Audit of the Ind AS Financial Statements' section of our report. We are independent of the Company in accordance with the 'Code of Ethics' issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Ind AS financial statements.

### Other Information

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Director report but does not include the Ind AS financial statements and our auditor's report thereon.

Our opinion on the Ind AS financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Ind AS financial statements, our responsibility is to read the other information and, in doing so, consider whether such other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.



**Responsibilities of Management for the Ind AS Financial Statements**

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these Ind AS financial statements that give a true and fair view of the financial position, financial performance including other comprehensive income, cash flows and changes in equity of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Ind AS financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

**Auditor's Responsibilities for the Audit of the Ind AS Financial Statements**

Our objectives are to obtain reasonable assurance about whether the Ind AS financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Ind AS financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Ind AS financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.



- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Ind AS financial statements, including the disclosures, and whether the Ind AS financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

**Report on Other Legal and Regulatory Requirements**

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in the "Annexure 1" a statement on the matters specified in paragraphs 3 and 4 of the Order.
2. As required by Section 143(3) of the Act, we report that:

   (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;

   (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books except for the matters stated in the paragraph 2(i)(vi) below on reporting under Rule 11(g);

   (c) The Balance Sheet, the Statement of Profit and Loss including the Statement of Other Comprehensive Income, the Cash Flow Statement and Statement of Changes in Equity dealt with by this Report are in agreement with the books of account;

   (d) In our opinion, the aforesaid Ind AS financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015, as amended;

   (e) On the basis of the written representations received from the directors as on 31 March 2024 taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2024 from being appointed as a director in terms of Section 164 (2) of the Act;

   (f) With respect to the adequacy of the internal financial controls with reference to these Ind AS financial statements and the operating effectiveness of such controls, refer to our separate Report in "Annexure 2" to this report;



(g) Managerial remuneration has not paid / provided by the Company to its directors during the year ended 31 March 2024; and

(h) The modification relating to the maintenance of accounts and other matters connected therewith are as stated in the paragraph 2(b) above on reporting under Section 143(3)(b) and paragraph 2(i)(vi) below on reporting under Rule 11(g); and,

(i) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:

i. The Company has disclosed the impact of pending litigations on its financial position in its Ind AS financial statements – Refer Note 32 to the Ind AS financial statements;

ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses; and

iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

iv. a) The management has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

b) The management has represented that, to the best of its knowledge and belief, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

c) Based on such audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (a) and (b) contain any material misstatement.

v. No dividend has been declared or paid during the year by the Company.

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vi. Based on our examination which included test checks, the Company has used accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility, as explained in note 37 to financial statements, audit trail feature was not enabled in certain fields at application level and was not enabled at database level, throughout the year. Further, for subsystem relating to Revenue and Lorry hire expenses, audit trail feature was not enabled. Further, during the course of our audit we did not come across any instance of audit trail feature being tampered with, in respect of accounting software(s) where the audit trail has been enabled.

For **S.R. Batliboi & Associates LLP**
Chartered Accountants
ICAI Firm Registration Number: 101049W/E300004

**per Yogesh Midha**
Partner
Membership Number: 094941
UDIN: 24094941BKCYKL9625
Place of Signature: New Delhi
Date: 24 June 2024

**Annexure 1 referred to in paragraph 1 under the heading "Report on other legal and regulatory requirements" of our report of even date**

Re: Transrail Logistics Limited ('the Company')

In terms of the information and explanations sought by us and given by the company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we state that:

(i) (a)(A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment.

(B) The Company has maintained proper records showing full particulars of intangibles assets.

(b) Property, Plant and Equipment have been physically verified by the management during the year and no material discrepancies were identified on such verification.

(c) There is no immovable property (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the lessee), held by the Company and accordingly, the requirement to report on clause 3(i)(c) of the Order is not applicable to the Company.

(d) The Company has not revalued its Property, Plant and Equipment or intangible assets during the year ended 31 March 2024.

(e) There are no proceedings initiated or are pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.

(ii) (a) The Company's business does not require maintenance of inventories and, accordingly, the requirement to report on clause 3(ii)(a) of the Order is not applicable to the Company.

(b) As disclosed in note 36 to the financial statements, the Company has been sanctioned working capital limits in excess of Rs. five crores in aggregate from banks during the year on the basis of security of current assets of the Company. Based on the records examined by us in the normal course of audit of the financial statements, the quarterly returns/statements filed by the Company with such banks and financial institutions are in agreement with the books of accounts of the Company.

iii) (a) During the year the Company has not provided loans, advances in the nature of loans, stood guarantee or provided security to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the requirement to report on clause 3(iii)(a) of the Order is not applicable to the Company.

(b) During the year the terms and conditions of the grant of loans to Holding Company are not prejudicial to the Company's interest.

(c) The Company has not granted loans and advances in the nature of loans to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the requirement to report on clause 3(iii)(c) of the Order is not applicable to the Company.

(d) There are no amounts of loans and advances in the nature of loans granted to companies, firms, limited liability partnerships or any other parties which are overdue for more than ninety days.

(e) There were no loans or advance in the nature of loan granted to companies, firms, Limited Liability Partnerships or any other parties which had fallen due during the year.

(f) The Company has not granted any loans or advances in the nature of loans, either repayable on demand or without specifying any terms or period of repayment to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the requirement to report on clause 3(iii)(f) of the Order is not applicable to the Company.

(iv) Loans in respect of which provisions of sections 185 and 186 of the Companies Act, 2013 are applicable have been complied with by the Company.

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(v) The Company has neither accepted any deposits from the public nor accepted any amounts which are deemed to be deposits within the meaning of sections 73 to 76 of the Companies Act and the rules made thereunder, to the extent applicable. Accordingly, the requirement to report on clause 3(v) of the Order is not applicable to the Company.

(vi) The Central Government has not specified the maintenance of cost records under Section 148(1) of the Companies Act, 2013, for the services of the Company.

(vii) (a) The Company is regular in depositing with appropriate authorities undisputed statutory dues including goods and services tax, provident fund, employees' state insurance, income-tax, duty of customs, cess and other statutory dues applicable to it.

According to the information and explanations given to us and based on audit procedures performed by us, no undisputed amounts payable in respect of these statutory dues were outstanding, at the year end, for a period of more than six months from the date they became payable.

(b) There are no dues of goods and services tax, provident fund, employees' state insurance, income tax, sales-tax, service tax, customs duty, excise duty, value added tax, cess, goods and service tax and other statutory dues which have not been deposited on account of any dispute.

(viii) The Company has not surrendered or disclosed any transaction, previously unrecorded in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year. Accordingly, the requirement to report on clause 3(viii) of the Order is not applicable to the Company.

(ix) (a) The Company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender.

(b) The Company has not been declared willful defaulter by any bank or financial institution or government or any government authority.

(c) The Company did not have any term loans outstanding during the year hence, the requirement to report on clause (ix)(c) of the Order is not applicable to the Company.

(d) On an overall examination of the financial statements of the Company, no funds raised on short-term basis have been used for long-term purposes by the Company.

(e) The Company does not have any subsidiary, associate or joint venture. Accordingly, the requirement to report on clause 3(ix)(e) of the Order is not applicable to the Company.

(f) The Company does not have any subsidiary, associate or joint venture. Accordingly, the requirement to report on clause 3(ix)(f) of the Order is not applicable to the Company.

(x) (a) The Company has not made any preferential allotment or private placement of shares /fully or partially or optionally convertible debentures during the year under audit and hence, the requirement to report on clause 3(x)(b) of the Order is not applicable to the Company.

(xi) (a) No fraud by the Company or no fraud on the Company has been noticed or reported during the year.

(b) During the year, no report under sub-section (12) of section 143 of the Companies Act, 2013 has been filed by secretarial auditor or by us in Form ADT – 4 as prescribed under Rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government.

(c) As represented to us by the management, there are no whistle blower complaints received by the Company during the year.

(xii) The Company is not a nidhi Company as per the provisions of the Companies Act, 2013. Therefore, the requirement to report on clause 3(xii) of the Order is not applicable to the Company.

(xiii) Transactions with the related parties are in compliance with sections 177 and 188 of Companies Act, 2013 where applicable and the details have been disclosed in the notes to the financial statements, as required by the applicable accounting standards.

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New Delhi

(xiv) (a) The Company does not have an internal audit system and is not required to have an internal audit system under the provisions of Section 138 of the Companies Act, 2013. Therefore, the requirement to report under clause 3(xiv) of the Order is not applicable to the Company.

(xv) The Company has not entered into any non-cash transactions with its directors or persons connected with its directors and hence requirement to report on clause 3(xv) of the Order is not applicable to the Company.

(xvi) (a) The provisions of section 45-IA of the Reserve Bank of India Act, 1934 (2 of 1934) are not applicable to the Company. Accordingly, the requirement to report on clause (xvi) of the Order is not applicable to the Company.

(b) The Company has not conducted any Non-Banking Financial or Housing Finance activities without obtained a valid Certificate of Registration (CoR) from the Reserve Bank of India as per the Reserve Bank of India Act, 1934.

(c) The Company is not a Core Investment Company as defined in the regulations made by Reserve Bank of India. Accordingly, the requirement to report on clause 3(xvi) of the Order is not applicable to the Company.

(d) There is no Core Investment Company as a part of the Group, hence, the requirement to report on clause 3(xvi)(d) of the Order is not applicable to the Company.

(xvii) The Company has not incurred cash losses in the current financial year. The Company has not incurred cash losses in the immediately preceding financial year.

(xviii) There has been no resignation of the statutory auditors during the year and accordingly requirement to report on Clause 3(xviii) of the Order is not applicable to the Company.

(xix) On the basis of the financial ratios disclosed in note 35 to the financial statements, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

(xx) (a) In respect of other than ongoing projects, there are no unspent amounts that are required to be transferred to a fund specified in Schedule VII of the Companies Act (the Act), in compliance with second proviso to sub section 5 of section 135 of the Act.

(b) There are no unspent amounts in respect of ongoing projects, that are required to be transferred to a special account in compliance of provision of sub section (6) of section 135 of Companies Act.

For **S.R. Batliboi & Associates LLP**
Chartered Accountants
ICAI Firm Registration Number: 101049W/E300004

per **Yogesh Midha**
Partner
Membership Number: 094941
UDIN: 24094941BKCYKL9625
Place of Signature: New Delhi
Date: 24 June 2024

## ANNEXURE 2 TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE FINANCIAL STATEMENTS OF TRANSRAIL LOGISTICS LIMITED

**Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")**

We have audited the internal financial controls with reference to financial statements of Transrail Logistics Limited ("the Company") as of 31 March 2024 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

**Management's Responsibility for Internal Financial Controls**

The Company's Management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

**Auditor's Responsibility**

Our responsibility is to express an opinion on the Company's internal financial controls with reference to these financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing as specified under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls, both issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to these financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to these financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to these financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to these financial statements.



**Meaning of Internal Financial Controls With Reference to these Financial Statements**

A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

**Inherent Limitations of Internal Financial Controls With Reference to Financial Statements**

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to these financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

**Opinion**

In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to financial statements and such internal financial controls with reference to financial statements were operating effectively as at 31 March 2024, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note.

For **S.R. Batliboi & Associates LLP**
Chartered Accountants
ICAI Firm Registration Number: 101049W/E300004

**per Yogesh Midha**
Partner
Membership Number: 094941
UDIN: 24094941BKCYKL9625
Place of Signature: New Delhi
Date: 24 June 2024

**Transrail Logistics Limited**
**CIN: U74210HR2008PLC068824**
**Balance Sheet as at 31 March 2024**
*(All amounts in INR millions, unless stated otherwise)*

| Particulars | Notes | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|---|
| **Assets** | | | |
| **Non-current assets** | | | |
| Property, plant and equipment | 3 | 6.03 | 9.49 |
| Financial assets | | | |
| i. Other financial assets | 4 | 115.56 | 13.10 |
| Non- current tax assets (net) | | 10.68 | 8.69 |
| Other non-current assets | 5 | 1.29 | 1.42 |
| Deferred tax assets (net) | 9 | 22.08 | 27.37 |
| **Total non-current assets (A)** | | **155.64** | **60.07** |
| **Current assets** | | | |
| Financial assets | | | |
| i. Trade receivables | 6 | 124.90 | 124.36 |
| ii. Cash and cash equivalents | 7 | 12.26 | 17.31 |
| iii. Bank balances other than (ii) above | 8 | - | 58.85 |
| iv. Other financial assets | 4 | 31.13 | 5.70 |
| Other current assets | 5 | 18.13 | 14.53 |
| **Total current assets (B)** | | **186.42** | **220.75** |
| **Total Assets (A+B)** | | **342.06** | **280.82** |
| **Equity and liabilities** | | | |
| **Equity** | | | |
| Equity share capital | 10 | 178.95 | 178.95 |
| Other equity | 11 | 129.99 | 96.37 |
| **Total equity (A)** | | **308.94** | **275.32** |
| **Liabilities** | | | |
| **Non-current liabilities** | | | |
| Employee benefit obligations | 12 | - | 0.01 |
| **Total non-current liabilities (B)** | | **-** | **0.01** |
| **Current liabilities** | | | |
| Contract liabilities | 17 | - | 0.09 |
| Financial liabilities | | | |
| i. Trade payables | 13 | | |
| -Dues to micro and small enterprises | | - | - |
| -Dues to enterprises other than micro and small enterprises | | 24.46 | 4.36 |
| ii. Other financial liabilities | 14 | - | 0.01 |
| Provisions | 15 | 0.88 | 0.88 |
| Employee benefit obligations | 12 | - | 0.01 |
| Other current liabilities | 16 | 7.78 | 0.14 |
| **Total current liabilities (C )** | | **33.12** | **5.49** |
| **Total liabilities (B+C)** | | **33.12** | **5.50** |
| **Total equity and liabilities (A+B+C)** | | **342.06** | **280.82** |
| **Summary of material accounting policies** | 2 | | |

The accompanying notes form an integral part of the financial statements
As per our report of even date

**For S.R. Batliboi & Associates LLP**
Chartered Accountants
ICAI Firm Registration No: 101049W/E300004

**per Yogesh Midha**
**Partner**
Membership Number: 094941

Place: New Delhi
Date: 24 June 2024

For and on behalf of the Board of Directors
**Transrail Logistics Limited**

**Krishan Kumar Agarwal**
(Chairman and Managing Director)
DIN - 00151179

**Jachee Lee**
(Chief Financial Officer)

**Narender Kumar Agarwal**
(Director)
DIN-00052456

**Apoorva Kumar**
(Company Secretary)
FCS: 4905

Place: Gurugram
Date: 24 June 2024

TRANSRAIL LOGISTICS LTD. Regd. Office : Plot No. 55-P, Sector-44 Institutional Area GURUGRAM-122003 (HR.)

**Transrail Logistics Limited**
**CIN: U74210HR2008PLC068824**
**Statement of profit and loss for the year ended 31 March 2024**
*(All amounts in INR millions, unless stated otherwise)*

| Particulars | Notes | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|---|
| **Income** | | | |
| Revenue from contracts with customers | 17 | 914.32 | 333.06 |
| Other income | 18 | 11.15 | 10.14 |
| **Total income (I)** | | **925.47** | **343.20** |
| **Expenses** | | | |
| Cost of services | 19 | 866.42 | 313.64 |
| Employee benefit expenses | 20 | 0.17 | 1.22 |
| Finance costs | 21 | 0.84 | 0.13 |
| Depreciation and amortisation expense | 22 | 3.24 | 3.27 |
| Other expenses | 23 | 7.48 | 7.86 |
| **Total expenses (II)** | | **878.15** | **326.12** |
| **Profit before tax for the year (III = I - II)** | | **47.32** | **17.08** |
| **Income tax expense** | 24 | | |
| - Current tax expense | | 13.50 | 0.98 |
| - Deferred tax charge | | 0.20 | 3.86 |
| **Total Income tax expense (IV)** | | **13.70** | **4.84** |
| **Profit for the year (V = III - IV)** | | **33.62** | **12.24** |
| **Other comprehensive income** | | | |
| **Items that will not be reclassified to profit or loss in subsequent years:** | | | |
| Remeasurement gain of post employment benefit obligations | 27 | - | 0.14 |
| Income tax relating to these items | | - | (0.04) |
| **Other comprehensive income for the year, net of tax (VI)** | | - | **0.10** |
| **Total comprehensive income for the year (VII=V+VI)** | | **33.62** | **12.34** |
| **Earnings per equity share** | 25 | | |
| Basic earnings per equity share (INR) | | **1.88** | **0.68** |
| Diluted earnings per equity share (INR) | | **1.88** | **0.68** |
| **Summary of material accounting policies** | 2 | | |

The accompanying notes form an integral part of the financial statements
As per our report of even date

**For S.R. Batliboi & Associates LLP**
Chartered Accountants
ICAI Firm Registration No: 101049W/E300004

**per Yogesh Midha**
**Partner**
Membership Number: 094941

Place: New Delhi
Date: 24 June 2024

For and on behalf of the Board of Directors
**Transrail Logistics Limited**

**Krishan Kumar Agarwal**
(Chairman and Managing Director)
DIN - 00151179

**Narender Kumar Agarwal**
(Director)
DIN-00052456

**Jaehee Lee**
(Chief Financial Officer)

**Apoorva Kumar**
(Company Secretary)
FCS: 4905

Place: Gurugram
Date: 24 June 2024

**Transrail Logistics Limited**
**CIN: U74210HR2008PLC068824**
**Statement of changes in equity for year ended 31 March 2024**
*(All amounts in INR millions, unless stated otherwise)*

**I) Equity Share Capital (refer note 10)**

| | Number | Amount |
|---|---|---|
| **Equity shares of Rs. 10 each issued, subscribed and fully paid** | | |
| **As at 01 April 2022** | **17,894,875** | **178.95** |
| Add: Issue of share capital | - | - |
| **Balance as at 31 March 2023** | **17,894,875** | **178.95** |
| Add: Issue of share capital | - | - |
| **Balance as at 31 March 2024** | **17,894,875** | **178.95** |

**II) Other equity (refer note 11)**

| | Retained earnings | Total |
|---|---|---|
| **As at 01 April 2022** | **84.03** | **84.03** |
| Profit for the year | 12.24 | 12.24 |
| Other comprehensive income (net of tax) for the year | 0.10 | 0.10 |
| **Balance as at 31 March 2023** | **96.37** | **96.37** |
| | | |
| **Balance as at 01 April 2023** | **96.37** | **96.37** |
| Profit for the year | 33.62 | 33.62 |
| Other comprehensive income (net of tax) for the year | - | - |
| **Balance as at 31 March 2024** | **129.99** | **129.99** |

**Summary of material accounting policies** 2

The accompanying notes form an integral part of the financial statements
As per our report of even date

**For S.R. Batliboi & Associates LLP**
Chartered Accountants
ICAI Firm Registration No: 101049W/E300004

**per Yogesh Midha**
**Partner**
Membership Number: 094941

S.R. Batliboi & Associates LLP New Delhi

Place: New Delhi
Date: 24 June 2024

For and on behalf of the Board of Directors
**Transrail Logistics Limited**

**Krishan Kumar Agarwal**
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(Chief Financial Officer)

**Apoorva Kumar**
(Company Secretary)
FCS: 4905

Place: Gurugram
Date: 24 June 2024

TRANSRAIL LOGISTICS LTD. Regd. Office : Plot No. 55-P, Sector-44 Institutional Area GURUGRAM-122003 (HR.)

**Transrail Logistics Limited**
**CIN: U74210HR2008PLC068824**
**Cash flow statement for the year ended 31 March 2024**
*(All amounts in INR millions, unless stated otherwise)*

| | | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|---|
| **A. Cash flow from operating activities:** | | | |
| **Profit before taxation** | | 47.32 | 17.08 |
| **Adjustments to reconcile profit before tax to net cash flows:** | | | |
| Depreciation and amortisation expense | | 3.24 | 3.27 |
| Profit on sale of fixed assets (net) | | (2.61) | (0.02) |
| Interest income | | (8.00) | (6.09) |
| Finance costs | | 0.84 | 0.08 |
| Bad debts written off | | - | 1.00 |
| Liabilities / provisions no longer required written back | | (0.34) | - |
| Provision for doubtful trade receivables and contingent liabilities | | 0.06 | - |
| **Operating profit before working capital changes** | | **40.51** | **15.32** |
| **Changes in working capital:** | | | |
| (Increase) in trade receivables | | (0.60) | (12.79) |
| Decrease in contract assets | | - | 0.08 |
| Decrease in other financial assets | | 1.17 | 0.56 |
| (Increase) in other current assets | | (3.48) | (12.35) |
| Increase/(decrease) in trade payables | | 20.44 | (0.57) |
| (Decrease)/Increase in other contract liability | | (0.09) | 0.09 |
| (Decrease) in other financial liabilities | | (0.01) | (0.03) |
| (Decrease) in employee benefit obligations | | (0.01) | (0.15) |
| Increase/(decrease) in other current liabilities | | 7.64 | (2.68) |
| **Cash generated from operations** | | **65.57** | **(12.52)** |
| Net income tax paid (net of refund) | | (10.40) | (0.23) |
| **Net cash flow from/(used) operating activities (A)** | **(A)** | **55.17** | **(12.75)** |
| **B. Cash flows from investing activities** | | | |
| Purchase of property, plant & equipment | | - | (0.01) |
| Proceeds from sale of property, plant & equipment | | 2.82 | 0.07 |
| Net investment in fixed deposits having maturity of more than 3 months | | (70.20) | (55.14) |
| Interest received | | 8.00 | 5.01 |
| **Net cash flow (used) investing activities (B)** | **(B)** | **(59.38)** | **(50.07)** |
| **C. Cash flow from financing activities** | | | |
| Payment of interest and finance charges | | (0.84) | (0.08) |
| **Net cash used in financing activities (C )** | **(C)** | **(0.84)** | **(0.08)** |
| **Net decrease in cash and cash equivalents (A+B+C)** | | **(5.05)** | **(62.90)** |
| Cash and cash equivalents at the beginning of the year | | 17.31 | 80.21 |
| **Cash and cash equivalents at the end of the year** | | **12.26** | **17.31** |
| **Components of cash and cash equivalents** | | | |
| Cash on hand | | 0.01 | 0.01 |
| Balances with scheduled banks | | | |
| - In current accounts | | 12.25 | 4.80 |
| - In deposit accounts (original maturity of 3 months or less) | | - | 12.50 |
| **Total cash and cash equivalents (note 7)** | | **12.26** | **17.31** |

The accompanying notes form an integral part of the financial statements
As per our report of even date

**For S.R. Batliboi & Associates LLP**
Chartered Accountants
ICAI Firm Registration No: 101049W/E300004

**per Yogesh Midha**
**Partner**
Membership Number: 094941

Place: New Delhi
Date: 24 June 2024

For and on behalf of the Board of Directors
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**Apoorva Kumar**
(Company Secretary)
FCS: 4905

Place: Gurugram
Date: 24 June 2024

## 1. CORPORATE INFORMATION

Transrail Logistics Limited (the 'Company') CIN No. U74210HR2008PLC068824 was incorporated as a Public Limited Company on 13 June 2008. The Company is engaged in the business of end to end transportation of goods by road and parcel train. The Company is wholly owned subsidiary of CJ Darcl Logistics Limited (Formerly known as Darcl Logistics Limited) ('the Holding Company').

These financial statements have been approved by the Board of Directors pursuant to resolution passed on 24 June 2024.

## 2. MATERIAL ACCOUNTING POLICIES

### i) Basis of preparation of financial statements

The financial statements of the Company have been prepared and presented in accordance with Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015 as amended from time to time and and presentation requirements of Division II of Schedule III to the Companies Act, 2013, (Ind AS compliant Schedule III), as applicable to these financial statements.

The financial statements have been prepared on an accrual basis as a going concern and under the historical cost convention, except for certain financial assets and financial liabilities that are measured at fair value as required under relevant Ind AS.

The financial statements are presented in Indian rupees (INR) and all values are rounded to nearest millions upto two decimals, except when otherwise stated.

### ii) Property plant and equipment

Freehold land is carried at historical cost. All other items of property, plant and equipment are stated at cost less accumulated depreciation and accumulated impairment, if any. The cost comprises of purchase price, taxes, duties, freight and other incidental expenses directly attributable and related to acquisition and installation of the concerned assets and are further adjusted by the amount of CENVAT /GST/VAT credit availed wherever applicable. The present value of the expected cost for the decommissioning of an asset after its use is included in the cost of the respective asset if the recognition criteria for a provision are met.

Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognized when replaced. All other repairs and maintenance are charged to profit or loss during the reporting period in which they are incurred.

### iii) Depreciation methods, estimated useful lives and residual value

Depreciation is provided on pro-rata basis using the straight-line method to allocate their cost, net of their residual values, over their estimated useful lives as estimated by the management which is in line with the useful life of assets as prescribed under Schedule II of the Companies Act, 2013 except in respect of trucks and mobile phones, in which case the life of the assets has been assessed as 8 and 2 years respectively, taking into account their nature and their estimated usage.

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The Company has used the following rates to provide depreciation on its property, plant and equipment:

| Asset category | Useful lives estimated by management (SLM) | Useful life of assets as per Schedule II of Company Act (SLM) |
|---|---|---|
| Furniture and fittings | 10 Years | 10 Years |
| Office equipment | 3-5 Years | 5 Years |
| Computers | 3 Years | 3 Years |
| Trucks | 8 Years | 6 Years |
| Other vehicle | 8 Years | 8 Years |

The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year-end and adjusted prospectively, if appropriate.

Property, plant and equipment is derecognized upon disposal (i.e., at the date the recipient obtains control) or when no future economic benefits are expected from its use or disposals. Gains or losses arising from disposal of property, plant and equipment are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the consolidated summary statement of profit and loss when the assets are derecognized.

**iv) Use of estimates**

The preparation of the financial statements requires the management of the Company to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures relating to the contingent liabilities as at the date of financial statements and reported amounts of income and expenses during the year. Examples of such estimates include allowance for impairment of trade receivables and provision for doubtful advances, employee benefits, provision for income taxes, and impairment of assets and useful lives of property, plant and equipment.

The management believes that the estimates used in preparation of the financial statements are prudent and reasonable. Future results could differ due to changes in these estimates and the differences between the actual results and the estimates are recognized in the periods in which the results are known.

**v) Current versus non-current classification**

The Company presents assets and liabilities in the balance sheet based on current/ non-current classification.

An asset is treated as current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realized within twelve months after the reporting period, or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

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The operating cycle is the time between the acquisition of assets for processing and their realization in cash and cash equivalents. The Company has identified twelve months as its operating cycle.

**vi) Leases**

The Company assesses at contract inception whether a contract is, or contains a, lease. That is if the contract conveys the right to control the use of an identified asset for a period of time in exchange of consideration.

**Company as a lessee**

The Company applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

**Company is the lessor**

Leases in which the Company does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognized over the lease term on the same basis as rental income.

**vii) Impairment of non-financial assets**

The carrying amounts of the assets are reviewed at each Balance sheet date for any indication of impairment based on internal/external factors. If any such indication exists, or when annual impairment testing for an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs of disposal and its value in use. Recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used. After impairment, depreciation is provided on the revised carrying amount of the asset over its remaining useful life.

Impairment losses including impairment on inventories are recognized in the Statement of Profit and Loss.

**a) Fair value measurement**

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

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The three levels of Fair Value hierarchy as described below:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the consolidated summary statements on a recurring basis, the group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

**viii) Financial Instruments**

**i) Financial assets**

**a) Initial recognition and measurement**

Financial assets are classified, at initial recognition, as subsequently measured at amortised cost and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Company has applied the practical expedient, the Company initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Company has applied the practical expedient are measured at the transaction price determined under Ind AS 115. Refer to the accounting policies "Revenue from contracts with customers".

In order for a financial asset to be classified and measured at amortised cost, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognized on the trade date, i.e., the date that the Company commits to purchase or sell the asset.

**b) Subsequent measurement**

For purposes of subsequent measurement, financial assets are classified in four categories:

- Debt instruments at amortised cost
- Debt instruments and equity instruments at fair value through profit or loss (FVTPL)

**Debt instruments at amortised cost**

A 'debt instrument' is measured at the amortised cost if both the following conditions are met:

a) The asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and

b) Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

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This category is most applicable to the Company. After initial measurement, such financial assets are subsequently measured at amortised cost using the Effective Interest Rate ("EIR") method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance income in the statement of profit and loss. The losses arising from impairment are recognized in the statement of profit and loss. This category generally applies to trade and other receivables.

**Debt instrument at FVTPL**

FVTPL is a residual category for debt instruments. Any debt instrument, which does not meet the criteria for categorization as at amortized cost or as FVTOCI, is classified as at FVTPL.

In addition, the Company may elect to designate a debt instrument, which otherwise meets amortized cost or FVTOCI criteria, as at FVTPL. However, such election is considered only if doing so reduces or eliminates a measurement or recognition inconsistency (referred to as 'accounting mismatch').

Debt instruments included within the FVTPL category are measured at fair value with all changes recognized in the statement of profit and loss. This category is applicable to investments in mutual funds.

**Equity Investments**

All equity investments in scope of Ind AS 109 are measured at fair value. Equity instruments which are held for trading are classified as at FVTPL. For all other equity instruments, the Company may make an irrevocable election to present in other comprehensive income subsequent changes in the fair value. The Company makes such election on an instrument-by-instrument basis. The classification is made on initial recognition and is irrevocable.

If the Company decides to classify an equity instrument as at FVTOCI, then all fair value changes on the instrument, excluding dividends, are recognized in the OCI. There is no recycling of the amounts from OCI to statement of profit and loss, even on sale of investment. However, the Company may transfer the cumulative gain or loss within equity.

Equity instruments included within the FVTPL category are measured at fair value. All changes in fair value including dividend are recognized in the statement of profit and loss.

**Financial liabilities at amortised cost**

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognized in profit or loss when the liabilities are derecognized as well as through the EIR amortisation process. amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit and loss.

**Derecognition**

A financial asset is de-recognized only when

- The rights to receive cash flows from the asset have expired, or
- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

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When the Company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognize the transferred asset to the extent of the Company's continuing involvement. In that case, the Company also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

**c) Impairment of financial assets**

In accordance with Ind AS 109, the Company applies expected credit loss (ECL) model for measurement and recognition of impairment loss on the following financial assets and credit risk exposure:

Financial assets that are debt instruments, and are measured at amortised cost e.g., loans, debt securities, deposits, trade receivables and bank balances.

The Company follows 'simplified approach' for recognition of impairment loss allowance on trade receivables. The application of simplified approach does not require the Company to track changes in credit risk. Rather, it recognizes impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.

For recognition of impairment loss on other financial assets and risk exposure, the Company determines that whether there has been a significant increase in the credit risk since initial recognition. If credit risk has not increased significantly, 12-month expected credit loss (ECL) is used to provide for impairment loss. However, if credit risk has increased significantly, lifetime ECL is used. If, in a subsequent period, credit quality of the instrument improves such that there is no longer a significant increase in credit risk since initial recognition, then the entity reverts to recognizing impairment loss allowance based on 12-month ECL.

Lifetime ECL are the expected credit losses resulting from all possible default events over the expected life of a financial instrument. The 12-month ECL is a portion of the lifetime ECL which results from default events that are possible within 12 months after the reporting date.

ECL is the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the entity expects to receive (i.e., all cash shortfalls), discounted at the original EIR.

The Company uses a provision matrix to determine impairment loss allowance on portfolio of its trade receivables. The provision matrix is based on its historically observed default rates over the expected life of the trade receivables and is adjusted for forward-looking estimates. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analyzed.

ECL impairment loss allowance (or reversal) recognized during the period is recognized as income/ expense in the statement of profit and loss. This amount is reflected under the head other expenses in the statement of profit and loss. For the financial assets measured as at amortised cost, contractual revenue receivables, ECL is presented as an allowance, i.e., as an integral part of the measurement of those assets in the balance sheet. The allowance reduces the net carrying amount. Until the asset meets write-off criteria, the Company does not reduce impairment allowance from the gross carrying amount.

**Financial Liabilities**

**Initial recognition and measurement**

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, loans and borrowings or payables, as appropriate.

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All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Company's financial liabilities include trade and other payables, financial guarantee contracts and derivative financial instruments.

**Subsequent measurement**

The measurement of financial liabilities depends on their classification, as described below:

**Financial liabilities at fair value through profit or loss**

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

The financial guarantees are amortised over the life of the guarantee and are measured at each reporting date at the higher of:

- the remaining unamortized balance of the amount at initial recognition and
- the best estimate of expenditure required to settle the obligation at the end of the reporting period.

**Financial liabilities at amortised cost**

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognized in profit or loss when the liabilities are derecognized as well as through the EIR amortisation process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit and loss.

**De-recognition**

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the statement of profit and loss.

**Reclassification of financial assets**

The Company determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities. For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. If the Company reclassifies financial assets, it applies the reclassification prospectively

from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Company does not restate any previously recognized gains, losses (including impairment gains or losses) or interest.

**Offsetting of financial instruments**

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated balance sheet if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

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ix) **Revenue recognition**

**Revenue from contracts with customers**

Revenue from contracts with customers is recognized when control of the services is transferred to the customer, at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods or services and excludes amounts collected on behalf of third parties. The Company has generally concluded that it is the principal in its revenue arrangements because it typically controls the services before transferring them to the customer.

The disclosures of material accounting judgements, estimates and assumptions relating to revenue from contracts with customers are provided in Note 28.

***Performance obligations***

At contract inception, we assess the services promised in our contracts with customers and identify our performance obligations to provide distinct services to the customers. We have determined that the following distinct services represent our primary performance obligations.

- **Transportation services:** Revenue is recognized for these performance obligations as they are satisfied over the contract term, which generally represents the transit period. The transit period can vary based upon the method of transport, generally a couple days for over the road, rail, and air transportation, or several weeks in the case of an ocean shipment. Company also provide certain ancillary logistics services, such as handling of goods, customs clearance services etc. The service period for these services is usually for a very short duration, generally few days or weeks. Hence, revenue from these services is recognized over the service period as the Company perform the primary obligation of transportation of goods.

- **Other allied services:** Revenue from leasing of vehicles (trucks), renting of warehouse, fee-based management services are recognized over time as the customer simultaneously avails the benefits of these services. Hence, the revenue from such services is recognized on a monthly basis, basis the amount fixed as per the agreements.

***Variable consideration***

If the consideration in a contract includes a variable amount, the Company estimates the amount of consideration to which it will be entitled in exchange for providing services to the customer. The variable consideration is estimated at contract inception and constrained until it is highly probable that a significant revenue reversal in the amount of cumulative revenue recognized will not occur when the associated uncertainty with the variable consideration is subsequently resolved. Some contracts for transportation services provide the customer with incentives and include penalties levied on the Company. To estimate the variable consideration for the expected future incentives and penalties, the Company has applied the expected value method for all contracts.

**Contract balances**

***Contract assets***

A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Company performs by transferring goods or services to a customer before the same is invoiced to the customer, a contract asset is recognized for the earned consideration that is conditional on satisfaction of the performance obligation.

***Trade receivables***

A receivable represents the Company's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due). Refer to accounting policies of financial assets in financial instrument – initial recognition and subsequent measurement.

***Contract liabilities***

A contract liability is the obligation to transfer goods or services to a customer for which the Company has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Company transfers goods or services to the customer, a contract liability is recognized when the payment is made or

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the payment is due (whichever is earlier). Contract liabilities are recognized as revenue when the Company fulfil its performance obligation under the contract.

**Interest income**

Interest income from financial asset is recognized using the effective interest rate method. The effective interest rate is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to the gross carrying amount of a financial asset. When calculating the effective interest rate, the Company estimates the expected cash flows by considering all the contractual terms of the financial instrument (for example, prepayment, extension, call and similar options) but does not consider the expected credit losses.

**x) Employee benefits**

**(i) Post-employment benefits**

**Defined Contribution Plan:** A defined contribution plan is a post-employment benefit plan under which the Company pays specified contributions to a separately entity. The Company has defined contribution plans for provident fund and employees' state insurance scheme. The Company's contribution in the above plans is recognized as an expense in the Statement of Profit and Loss during the year in which the employee renders the related service.

**Defined Benefit Plans:** The Company has a defined benefit gratuity plan which is a combination of funded plan and unfunded plan. In case of funded plan, the Company makes contribution to a separately administered fund. The Company does not fully fund the liability and maintains a target level of funding to be maintained over a period of time based on estimation of the payments. Any deficit in plan assets as compared to the liability based on an independent actuarial valuation is recognized as a liability. The cost of providing benefits under the defined benefit plan is determined using the projected unit credit method, with actuarial valuations being carried out at periodic intervals.

Re-measurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognized in the period in which they occur, directly in Other comprehensive income (OCI). They are included in retained earnings in the Statement of Changes in Equity and in the Balance Sheet. Re-measurements are not reclassified to profit or loss in subsequent periods.

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset. The Company recognizes the following changes in the net defined benefit obligation under Employee benefits expense in statement of profit or loss:

- Service costs comprising current service costs, past service costs, gains and losses on curtailment and non-routine settlements
- Net interest expense

Termination benefits are recognized as an expense immediately.

**(ii) Short-term obligations**

Liabilities for wages and salaries, including non-monetary benefits that are expected to be settled wholly within 12 months after the end of the period in which the employees render the related service are recognized in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled.

Compensated absences are provided for based on actuarial valuation. The actuarial valuation is done as per projected unit credit method at the end of the year. Actuarial gains/losses are immediately recognized to the Statement of Profit and Loss.

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**xi) Income tax**

Income tax expense represents the sum of current tax and deferred tax.

**i. Current tax**

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. Current tax is based on the taxable income and calculated using the applicable tax rates and tax laws. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date.

Current tax assets and tax liabilities are offset where the entity has a legally enforceable right to offset and intends either to settle on a net basis, or to realise the asset and settle the liability. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Company shall reflect the effect of uncertainty for each uncertain tax treatment by using either most likely method or expected value method, depending on which method predicts better resolution of the treatment.

**ii. Deferred tax**

Deferred tax is recognized on temporary differences between the carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax assets are generally recognized for all deductible temporary differences to the extent it is probable that taxable profits will be available against which those deductible temporary differences can be utilized.

Deferred tax assets are recognized for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred tax assets are recognized to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilized.

The carrying amount of deferred tax assets is reviewed at the end of each reporting date and reduced to the extent it is no longer probable that sufficient taxable profit will be available to allow the benefit of part or that entire deferred tax asset to be utilized. Unrecognized deferred tax assets are re-assessed at the end of each reporting date and are recognized to the extent it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation statute.

**iii. Minimum alternate tax (MAT)**

MAT paid in a year is charged to the statement of profit and loss as current tax. The Company recognizes MAT credit available as an asset only to the extent that there is convincing evidence that the Company will pay normal income tax during the specified period, i.e., the period for which MAT credit is allowed to be carried forward. In the year in which the Company recognizes MAT credit as an asset in accordance with the Guidance Note on Accounting for Credit Available in respect of Minimum Alternative Tax under the Income-tax Act, 1961, the said asset is created by way of credit to the statement of profit and loss and shown as "MAT Credit Entitlement." The Company reviews the "MAT credit entitlement" asset at each reporting date and writes down the asset to the extent the Company does not have convincing evidence that it will pay normal tax during the specified period.

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### xii) Earnings per share

Basic earnings per share (EPS) are calculated by dividing the net profit or loss for the year attributable to equity shareholders by the weighted average number of equity shares outstanding during the year.

Diluted EPS amounts are calculated by dividing the profit or loss attributable to equity holders of the Company (after adjusting the corresponding income/charge for dilutive potential equity shares) by the weighted average number of Equity shares outstanding during the year plus the weighted average number of Equity shares that would be issued on conversion of all the dilutive potential Equity shares into Equity shares, unless the effect of the potential dilutive equity shares is anti-dilutive.

### xiii) Provisions and Contingent liabilities

Provisions are recognized when the Company has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation and the amount can be reliably estimated. Provisions are not recognized for future operating losses.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period. The discount rate used to determine the present value is a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognized as interest expense.

A contingent liability is possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognized because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases, where there is a liability that cannot be recognized because it cannot be measured reliably. The Company does not recognize a contingent liability but disclose its existence in the financial statements unless the probability of outflow of resource is remote. Contingent assets are not recognized.

### xiv) Segment reporting

Business of the company primarily consist of transportation of goods and allied services. Accordingly, there is no separate reportable segment.

### xv) Cash and cash equivalents

Cash and cash equivalents in the balance sheet comprise of balances with banks, cash in hand and short-term deposits with an original maturity of three months or less, which are subject to an insignificant risk of changes in value. For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Company's cash management. Bank overdrafts are shown within borrowings in current liabilities in the Balance Sheet.

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**3. Property, plant and equipment & Intangible assets**

| | Furniture and fittings | Office equipment | Computers | Trucks | Other vehicles | Total tangible assets | Computer software | Total intangible assets |
|---|---|---|---|---|---|---|---|---|
| **Cost or valuation** | | | | | | | | |
| **As at 01 April 2022** | **0.44** | **0.76** | **0.47** | **18.19** | **0.24** | **20.10** | **0.01** | **0.01** |
| Addition | - | 0.01 | - | - | - | **0.01** | - | - |
| Disposals/Transfer | - | 0.13 | - | - | - | **0.13** | - | - |
| **As at 31 March 2023** | **0.44** | **0.64** | **0.47** | **18.19** | **0.24** | **19.98** | **0.01** | **0.01** |
| Addition | - | - | - | - | - | - | - | - |
| Disposals/Transfer | - | 0.11 | - | 2.86 | 0.11 | **3.08** | - | - |
| **As at 31 March 2024** | **0.44** | **0.53** | **0.47** | **15.33** | **0.13** | **16.90** | **0.01** | **0.01** |
| **Accumulated Depreciation** | | | | | | | | |
| **As at 01 April 2022** | **0.30** | **0.50** | **0.46** | **5.89** | **0.15** | **7.30** | **0.01** | **0.01** |
| Charge during the year | 0.04 | 0.06 | - | 3.15 | 0.02 | 3.27 | - | - |
| Disposals/Transfer | - | 0.08 | - | - | - | 0.08 | - | - |
| **As at 31 March 2023** | **0.34** | **0.48** | **0.46** | **9.04** | **0.17** | **10.49** | **0.01** | **0.01** |
| Charge during the year | 0.03 | 0.05 | - | 3.15 | 0.01 | **3.24** | - | - |
| Disposals/Transfer | - | 0.07 | - | 2.71 | 0.08 | **2.86** | - | - |
| **As at 31 March 2024** | **0.37** | **0.46** | **0.46** | **9.48** | **0.10** | **10.87** | **0.01** | **0.01** |
| **Net book value** | | | | | | | | |
| **As at 31 March 2024** | **0.07** | **0.07** | **0.01** | **5.85** | **0.03** | **6.03** | - | - |
| **As at 31 March 2023** | **0.10** | **0.16** | **0.01** | **9.15** | **0.07** | **9.49** | - | - |

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## 4 Other financial assets

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| **Non-current** | | |
| Security deposits (unsecured) | | |
| - Considered good | - | 0.10 |
| Deposits with banks as margin money*^ | 115.56 | 13.00 |
| **Total** | **115.56** | **13.10** |
| **Current** | | |
| Security deposits (Unsecured) | | |
| - Considered good | 1.84 | 1.88 |
| Deposits with banks as margin money*^ | 29.29 | 3.82 |
| **Total** | **31.13** | **5.70** |

* The Company has pledged these deposits as margin money with various banks against bank guarantees, overdraft and others.

^Deposits with banks as margin money includes accured interest 31 March 2024: 0.29 million (31 March 2023: 1.32 million)

## 5 Other assets

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| **Non-current** | | |
| Balance with government authorities | 1.28 | 1.28 |
| Prepaid expenses | 0.01 | 0.14 |
| **Total** | **1.29** | **1.42** |
| **Current** | | |
| Prepaid expenses | 0.27 | 0.43 |
| Balance with government authorities | - | 1.45 |
| Advances to employees | - | 0.05 |
| Advances to vendors | 17.85 | 12.53 |
| Contract cost | 0.00 | 0.00 |
| Other receivable | 0.01 | 0.07 |
| **Total** | **18.13** | **14.53** |

## 6 Trade receivables

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| Trade receivables | 124.90 | 124.36 |
| **Break up for above:** | | |
| **Trade receivables** | | |
| Gross unsecured, considered good | 124.90 | 124.36 |
| Gross unsecured, considered doubtful | - | - |
| | **124.90** | **124.36** |
| Less: Allowance for doubtful debts | - | - |
| **Total** | **124.90** | **124.36** |

**Trade receivable ageing schedule**

| Particulars | Outstanding for the period ended 31 March 2024 from the due date of payment | | | | | | |
|---|---|---|---|---|---|---|---|
| | Not due | Less than 6 months | 6 months - 1 year | 1-2 years | 2-3 years | More than 3 years | Total |
| (i) Undisputed trade receivables – considered good | 98.57 | 26.33 | - | - | - | - | 124.90 |
| (ii) Undisputed trade receivables – credit impaired | - | - | - | - | - | - | - |
| | **98.57** | **26.33** | - | - | - | - | **124.90** |

| Particulars | Outstanding for the year ended 31 March 2023 from the due date of payment | | | | | | |
|---|---|---|---|---|---|---|---|
| | Not due | Less than 6 months | 6 months - 1 year | 1-2 years | 2-3 years | More than 3 years | Total |
| (i) Undisputed trade receivables – considered good | 83.26 | 39.48 | - | 1.62 | - | - | 124.36 |
| (ii) Undisputed trade receivables – credit impaired | - | - | - | - | - | - | - |
| | **83.26** | **39.48** | - | **1.62** | - | - | **124.36** |

No trade or other receivable are due from directors or other officers of the Company either severally or jointly with any other person. Nor any trade or other receivable are due from firms or private companies respectively, in which any director is a partner, a director or a member.

Trade receivables are non-interest bearing and are generally on terms of 30 to 120 days.

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## 7 Cash and cash equivalents

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| Cash in hand | 0.01 | 0.01 |
| Balances with scheduled banks: | | |
| - In current accounts | 12.25 | 4.80 |
| - In deposit accounts (having original maturity less than 3 months) | - | 12.50 |
| **Total** | **12.26** | **17.31** |

## 8 Bank balances other than cash and cash equivalents

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| Deposits with banks having original maturity of 3 to 12 months | - | 58.85 |
| **Total** | **-** | **58.85** |

## 9 Deferred tax assets

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| **Items leading to creation of deferred tax assets** | | |
| Provision for doubtful debts and contingent liability | 0.24 | 0.24 |
| Defined benefit obligations | 0.00 | 0.01 |
| Property, plant and equipment and Intangibles - impact of difference between tax and books depreciation / amortisation | (0.71) | (0.51) |
| **Total deferred tax assets (A)** | **(0.47)** | **(0.26)** |
| **Mat credit entitlement* (B)** | 22.55 | 27.63 |
| **Total deferred tax (A + B)** | **22.08** | **27.37** |

* MAT credit of Rs. 22.55 million pertaining to FY 2017-18 to 2020-21 (31 March 2023: Rs. 27.63 million) is expiring within 9-12 years.

| **Movement of MAT credit entitlement** | | |
|---|---|---|
| Balance at the beginning of year | 27.63 | 28.04 |
| Less : Credit utilised during the year | (5.08) | (0.41) |
| **Balance at the end of year** | **22.55** | **27.63** |

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## 10 Equity share capital

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| **Authorised equity share capital** | | |
| 19,500,000 (31 March 2023: 19,500,000) shares of Rs.10 each | 195.00 | 195.00 |
| **Issued, subscribed and fully paid up equity shares** | | |
| 17,894,875 (31 March 2023: 17,894,875) shares of Rs.10 each | 178.95 | 178.95 |
| | **178.95** | **178.95** |

### (a) Reconciliation of number of shares and amount outstanding at the beginning and at the end of the reporting year

| | As at 31 March 2024 | | As at 31 March 2023 | |
|---|---|---|---|---|
| | Number of shares | Amount | Number of shares | Amount |
| **Equity shares** | | | | |
| Number of shares at beginning of the year | 17,894,875 | 178.95 | 17,894,875 | 178.95 |
| Add: Issue of shares | - | - | - | - |
| **Number of shares at the end of the year** | **17,894,875** | **178.95** | **17,894,875** | **178.95** |

### (b) Terms/rights attached to equity shares

The Company has only one class of equity shares having a par value of Rs. 10 per share. Each holder of equity shares is entitled to one vote per share. In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amount, if any. The distribution will be in proportion to the number of equity shares held by the shareholders.

### (c) Details of shareholders holding more than 5% equity shares in the Company*

| | As at 31 March 2024 | | As at 31 March 2023 | |
|---|---|---|---|---|
| | Number of shares | % holding | Number of shares | % holding |
| **Equity shares with voting rights** | | | | |
| CJ Darel Logistics Limited | 17,894,875 | 100% | 17,894,875 | 100% |

*As per records of the Company, including its register of shareholders/ members the above shareholding represents legal ownership of 17,894,815 equity shares (31 March 2023: 17,894,815 equity share). Further, based on declarations received from nominee shareholders regarding beneficial interest, balance 60 equity shares (31 March 2023: 60 equity shares) are held by them on behalf of the Holding company.

### (d) Disclosure of shareholding of promoters

| Particulars | Shares held by Promoter at the end of the year | | | | % change during the year |
|---|---|---|---|---|---|
| | S.No | Promoter Name | No. of shares | % of total shares | |
| **As at 31 March 2024** | 1 | CJ Darel Logistics Limited | 17,894,875 | 100% | 0.00% |
| | | | | | |
| **As at 31 March 2023** | 1 | CJ Darel Logistics Limited | 17,894,875 | 100% | 0.00% |

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## 11 Other equity

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| **Retained earnings** | | |
| Opening balance | 96.37 | 84.03 |
| Add: Net profit for the year | 33.62 | 12.24 |
| Add: Other comprehensive income (net of tax) | - | 0.10 |
| **Closing balance** | **129.99** | **96.37** |

## 12 Employee benefit obligations

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| **Non-current** | | |
| Gratuity (refer note 27) | - | 0.01 |
| **Total** | **-** | **0.01** |
| | | |
| **Current** | | |
| Compensated absences | - | 0.01 |
| Gratuity (refer note 27) | - | 0.00 |
| **Total** | **-** | **0.01** |

## 13 Trade payables

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| **Current** | | |
| Dues to Micro and Small Enterprises* | - | - |
| Dues to enterprises other than Micro and Small Enterprises^ | 24.46 | 4.36 |
| **Total** | **24.46** | **4.36** |

**Trade payable ageing schedule**

| Particulars | Outstanding for the year ended 31 March 2024 from the due date of payment | | | | |
|---|---|---|---|---|---|
| | Less than 1 year | 1-2 years | 2-3 years | More than 3 years | Total |
| (i) MSME | - | - | - | - | - |
| (ii) Others | 24.46 | - | - | - | 24.46 |
| (iii) Disputed dues - MSME | - | - | - | - | - |
| (iv) Disputed dues - others | - | - | - | - | - |
| | 24.46 | - | - | - | 24.46 |

| Particulars | Outstanding for the year ended 31 March 2023 from the due date of payment | | | | |
|---|---|---|---|---|---|
| | Less than 1 year | 1-2 years | 2-3 years | More than 3 years | Total |
| (i) MSME | - | - | - | - | - |
| (ii) Others | 4.26 | 0.06 | 0.03 | 0.01 | 4.36 |
| (iii) Disputed dues - MSME | - | - | - | - | - |
| (iv) Disputed dues - others | - | - | - | - | - |
| | 4.26 | 0.06 | 0.03 | 0.01 | 4.36 |

*Dues to Micro and Small Enterprises have been determined to the extent such parties have been identified on the basis of information collected by the management. The entire closing balance represents the principal amount payable to these enterprises. There are no interests due or outstanding on the same.

^ There are no disputed dues as at 31 March 2024 and 31 March 2023.

## 14 Other financial liabilities

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| **Current** | | |
| Security deposits | - | 0.01 |
| **Total** | **-** | **0.01** |

## 15 Provisions

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| **Current** | | |
| Provision for contingencies | 0.88 | 0.88 |
| **Total** | **0.88** | **0.88** |

## 16 Other liabilities

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| **Current** | | |
| Statutory dues | 7.68 | 0.04 |
| Advance against sale of assets | 0.10 | 0.10 |
| **Total** | **7.78** | **0.14** |

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## 17 Revenue from contracts with customers

| | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|
| **Rendering of services (Services transferred over time)** | | |
| Transportation of goods | 910.84 | 329.58 |
| Other services | 3.48 | 3.48 |
| **Revenue from contracts with customers** | **914.32** | **333.06** |

Reconciling the amount of revenue recognised in the statement of profit and loss with the contracted price

| | | |
|---|---|---|
| Revenue as per contracted price | 914.32 | 333.33 |
| **Adjustments** | | |
| Incentives and penalties | - | (0.27) |
| **Revenue from contracts with customers** | **914.32** | **333.06** |

Revenue from rendering of services is earned from customers within India.
Revenue recognised in the reporting year that was included in the contract liability balance as at 31 March 2024 of Nil (31 March 2023: INR 0.09 million). Revenue related to performance obligation satisfied in current year is Nil (31 March 2023: Nil).

The transaction price allocated to the remaining performance obligation (partially unsatisfied) as at 31 March 2024 is Nil (31 March 2023: Nil million). Such remaining performance obligation are expected to be recognised within one year.

**Contract balances**
The following table provides information about receivables, contract assets and contract liabilities from

| Particulars | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| Trade Receivables ^ | 124.90 | 124.36 |
| Contract liabilities (refer note 2 below) # | - | 0.09 |

^ Trade receivables includes unbilled revenue amounting to INR 0.60 Million (31 March 2023: INR 20.59 Million).

* Contract assets of Nil (31 March 2023: INR 0.08 Million) recognised at the beginning of the year has been transferred to trade receivables.

# Net decrease by INR 0.09 Millions (31 March 2023: Net increase INR 0.09 Million) is on account of cash received excluding revenue recognised during the year from contract liability as the beginning of the year.

**Notes:**

1. The contract assets primarily relate to the Company's rights to consideration for work partially completed and not billed at reporting date. The contract assets are transferred to the receivables on completing performance obligation and when the rights become unconditional.

2. Contract liabilities relates to payments received in advance of performance and unearned revenue against which amount has been received from customer but services are yet to be rendered on the reporting date either in full or in parts. Contract liabilities are recognized evenly over the year of service, being performance obligation of the Company.

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## 18 Other income

| | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|
| Interest income on - Bank deposits | 8.00 | 5.56 |
| Interest income on - Income tax refund | 0.18 | 0.53 |
| Profit on sale of fixed assets (net) | 2.61 | 0.02 |
| Liabilities / provisions no longer required written back | 0.34 | 4.03 |
| Miscellaneous income | 0.02 | 0.00 |
| **Total** | **11.15** | **10.14** |

## 19 Cost of services

| | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|
| Lorry hire, haulage and other ancillary cost | 864.85 | 311.63 |
| Claims for losses and damages (net) | 1.30 | 1.25 |
| Other charges | 0.27 | 0.76 |
| **Total** | **866.42** | **313.64** |

## 20 Employee benefit expenses

| | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|
| Salary, wages and bonus | 0.15 | 1.05 |
| Gratuity expenses (refer note 27) | - | 0.02 |
| Contribution to provident funds and other funds (refer note 27) | 0.02 | 0.12 |
| Workmen and staff welfare expenses | - | 0.03 |
| **Total** | **0.17** | **1.22** |

## 21 Finance costs

| | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|
| Interest expense | | |
| - on borrowings# | 0.84 | 0.05 |
| Other finance charges | 0.00 | 0.08 |
| **Total** | **0.84** | **0.13** |

# underlying borrowings are carried at amortised cost.

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## 22 Depreciation and amortisation expense

| | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|
| Depreciation of property, plant and equipment (refer note 3) | 3.24 | 3.27 |
| **Total** | **3.24** | **3.27** |

## 23 Other expenses

| | | For the year ended 31 March 2024 | | For the year ended 31 March 2023 |
|---|---|---|---|---|
| Directors sitting fees | | 0.12 | | 0.17 |
| Rent | | 0.49 | | 0.52 |
| Rates and taxes | | 0.24 | | 0.63 |
| Communication | | 0.00 | | 0.00 |
| Legal and professional | | 0.90 | | 0.25 |
| Advertisement and publicity | | 0.01 | | - |
| Travelling and conveyance | | 0.01 | | 0.01 |
| Printing and stationery | | 0.19 | | 0.00 |
| Insurance | | 0.07 | | 0.05 |
| Repairs and maintenance (others) | | - | | 0.00 |
| Electricity and water | | - | | 0.01 |
| Payments to auditor's (refer details below) | | 0.70 | | 0.70 |
| Impairment allowance on financial instruments | | 0.06 | | - |
| Bad debts, advances and claims written off | - | | 11.05 | |
| Less: Adjusted from provision for doubtful debts and advances | - | - | (10.05) | 1.00 |
| Office and general expenses | | 0.00 | | 0.02 |
| Miscellaneous expenses | | 0.16 | | 0.23 |
| Outsourced manpower expenses | | 4.53 | | 4.27 |
| **Total** | | **7.48** | | **7.86** |

**(a) Payments to auditor's comprises (including GST):**

| | | |
|---|---|---|
| **As auditor's:** | | |
| Audit fee | 0.65 | 0.65 |
| Reimbursement of expenses | 0.05 | 0.05 |
| | **0.70** | **0.70** |

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## 24 Income tax expense

(a) The major components of income tax expense for the year ended 31 March 2024 and 31 March 2023 are:

| | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|
| **Current tax expense** | | |
| - Current tax on profits for the year | 12.99 | 0.98 |
| - Adjustment for tax for earlier years | 0.51 | - |
| **Deferred tax charge** | | |
| - Relating to addition / reversal of temporary difference | 0.20 | 3.86 |
| **Total** | **13.70** | **4.84** |

(b) **Reconciliation of tax expense and the accounting profit**

| | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|
| Accounting profit before income tax | 47.31 | 17.07 |
| At India's statutory income tax rate of 27.82% (Year ended 31 March 2023 – 27.82%) | 13.16 | 4.75 |
| **Non-deductible expenses for tax purposes:** | | |
| Adjustments in respect of current income tax of previous year | 0.51 | - |
| Others | 0.03 | 0.09 |
| **Income tax expense reported in the statement of profit and loss** | **13.70** | **4.84** |

## 25 Basic and diluted earnings per share (EPS)

Basic EPS is calculated by dividing the profit for the year attributable to equity holders by the weighted average number of equity shares outstanding during the year.

For the purpose of calculating diluted EPS, the net profit for the year attributable to equity shareholders and the weighted average number of shares outstanding during the year is adjusted for the effects of all dilutive potential equity shares.

The following reflects the income and share data used in the basic and diluted EPS computations:

| | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|
| Profit attributable to equity holders for basic earnings | 33.62 | 12.24 |
| Effect of dilution | - | - |
| Profit attributable to equity holders for the effect of dilution | **33.62** | **12.24** |
| | | |
| Weighted average number of equity shares for basic EPS | 17,894,875 | 17,894,875 |
| Effect of dilution | - | - |
| | **17,894,875** | **17,894,875** |
| | | |
| Basic EPS (in Rs.) | **1.88** | **0.68** |
| Diluted EPS (in Rs.) | **1.88** | **0.68** |

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**26 Related party disclosures:**

The related parties where control and significant influence exists are subsidiaries. Key Management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director whether executive or otherwise.

**(a) Name of related party and related party relationship**

Related parties as per Ind AS 24 and Companies Act, 2013

**Holding Company**

CJ Darcl Logistics Limited

**Fellow Subsidiary**

CJ Korea Express India Private Limited
DARCL Logistics Nepal Private Limited

**Key Management Personnel**

Mr. Krishan Kumar Agarwal (Chairman and Managing Director)
Mr. Jae Hee Lee (Chief Financial Officer)
Mr. Apoorva Kumar (Company Secretary)

**Relatives of Key Management Personnel**

Mr. Roshan Lal Aggarwal
Mr. Narender Kumar Agarwal
Mr. Puneet Agarwal

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**(b) Details of related party transactions during the year ended 31 March 2024 and balances outstanding as at 31 March 2024**

| Balance as at year end | Holding Company | |
|---|---|---|
| | 31 March 2024 | 31 March 2023 |
| Other receivable | - | 0.35 |

| Transactions during the year | Holding Company | |
|---|---|---|
| | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
| Other operating income | 3.48 | 3.48 |
| **Purchase of services** | | |
| -Cost of Services-Lorry Hire, haulage and other ancillary cost | - | 0.55 |
| -Resource sharing expenses | 5.34 | 5.42 |
| Expenses reimbursed by related party | 0.37 | 0.12 |
| Sale of property, plant and equipment | - | 0.02 |

The sales to and purchases from related parties are made on terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the year-end are unsecured and interest free and settlement occurs in cash. There have been no guarantees provided or received for any related party receivables or payables. For the year ended March 2024, the Company has not recorded any impairment of receivables relating to amounts owed by related parties (31 March 2023: Rs. : Nil). This assessment is undertaken each financial year through examining the financial position of the related party and the market in which the related party operates.

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## 27 Gratuity and other post-employment benefit plans

### A. Defined benefit plan (Gratuity)

The Company has a defined benefit gratuity plan. Under the gratuity plan, every employee who has completed atleast five years of service gets a gratuity on departure at 15 days of last drawn salary for each completed year of service or part thereof in excess of six months subject to a maximum of Rs. 2.00 million.

**Regulatory framework, funding arrangement and governance of the Plan**

The gratuity plan is governed by the Payment of Gratuity Act, 1972 (Gratuity Act). The trustees of the gratuity fund have a fiduciary responsibility to act according to the provisions of the trust deed and rules. Since the fund is income tax approved, the Group and the trustees have to ensure that they are at all times fully compliant with the relevant provisions of the income tax act and rules. The Group is bound to pay the statutory minimum gratuity as prescribed under Gratuity Act. There are no minimum funding requirements for a gratuity plan in India.

**Inherent risks**

The plan is of a final salary defined benefit in nature which is sponsored by the Group and hence it underwrites all the risks pertaining to the plan. In particular, there is a risk for the Group that any significant change in salary growth or demographic experience or inadequate returns on underlying plan assets can result in an increase in cost of providing these benefits to employees in future.

The following tables summarize the components of net benefit expense recognised in the profit and loss account and amounts recognized in the balance sheet for Gratuity Plan.

**Net employee benefit expense recognised in employee cost**

| | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|
| Current service cost | - | 0.01 |
| Interest cost | - | 0.01 |
| **Expense recognised in the statement of profit and loss account** | - | **0.02** |

**Remeasurement of (Gain)/loss recognised in other comprehensive income**

| | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|
| Actuarial changes arising from changes in financial assumptions | - | - |
| Actuarial changes arising from changes in experience adjustments | - | (0.14) |
| | - | **(0.14)** |

**Changes in defined benefit obligation**

| | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|
| Balance at the beginning of period | 0.01 | 0.13 |
| Current service cost | - | 0.01 |
| Interest cost | - | 0.01 |
| Actuarial gain | - | (0.14) |
| Benefits paid | (0.01) | - |
| **Present value of obligation as at year end** | **(0.00)** | **0.01** |

**Net assets / liabilities recognised in the balance sheet as at 31 March 2024**

| | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Present value of obligation at the end of the year | - | 0.01 |
| Fair value of plan assets at the end of the year | - | - |
| Net liabilities / (assets) recognised in the balance sheet | - | 0.01 |
| **Net Asset/(liability) recognised in Balance Sheet is bifurcated as:** | | |
| - Non current provision | - | 0.01 |
| - Current provision | - | 0.00 |

**Principle actuarial assumptions**

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| Discount rate (per annum) | - | 7.50% |
| Expected increase in salary costs (per annum) | - | 6.00% |
| Attrition rate | - | 18.00% |
| Average remaining working lives (years) | - | 29 years |
| Mortality | | IALM 2012-14 |
| Retirement age | - | 60 years |

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**Quantitative sensitivity analysis for significant assumptions is as below**

| | Change in assumptions | Present value of obligation as at 31 March 2024 | Present value of obligation as at 31 March 2023 |
|---|---|---|---|
| Discount Rate | + 1% | - | (0.00) |
| | - 1% | - | 0.00 |
| Expected rate of salary increase | + 1% | - | 0.00 |
| | - 1% | - | (0.00) |
| Withdrawal rate | + 1% | - | (0.00) |
| | - 1% | - | 0.00 |

The estimates of rate of escalation in salary considered in actuarial valuation are after taking into account inflation, seniority, promotion and other relevant factors including supply and demand in the employment market. The above information is as certified by the Actuary.

The sensitivity analyses above have been determined based on a method that extrapolates the impact on defined benefit obligation as a result of reasonable changes in key assumptions occurring at the end of the reporting year.

**Projected plan cash flow:**
The table below shows the expected cash flow profile of the benefits to be paid to the current membership of the plan based on past service of the employees as at the valuation date.

| Particulars | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| Expected benefits for year 1 | - | 0.00 |
| Expected benefits for year 2 | - | 0.00 |
| Expected benefits for year 3 | - | 0.00 |
| Expected benefits for year 4 | - | 0.00 |
| Expected benefits for year 5 and above | - | 0.01 |

The average duration of the defined benefit plan obligation at the end of the reporting year is Nil (March 31, 2022: 28 years).

**B. Defined contribution plan**
During the year, the Company has recognised the following amounts in the statement of profit and loss:

| Particulars | For the year ended 31 March 2024 | For the year ended 31 March 2023 |
|---|---|---|
| Employers contribution to provident and other fund | 0.02 | 0.12 |

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**28 Significant accounting judgements, estimates and assumptions**

The preparation of the Company's financial statements in conformity with the Indian Accounting Standards requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures (including contingent liabilities). The management believes that the estimates used in preparation of the financial statements are prudent and reasonable. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods. Difference between actual results and estimates are recognised in the periods in which the results are known / materialise.

**A. Judgements**

In the process of applying the Company's accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognised in the financial statements:

**Determining the lease term of the contract with renewal and termination option - Company as a lessee**

The Company determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Company has several lease contracts that include extension and termination options. The Company applies judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Company reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customisation to the leased asset).

**Leases - Estimating the incremental borrowing rate**

The Company cannot readily determine the interest rate implicit in the lease, therefore, it uses its incremental borrowing rate (IBR) to measure lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company 'would have to pay', which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease.

**Operating lease commitments – Company as a lessor**

The Company has entered into commercial property leases on its investment property portfolio. The Company has determined, based on an evaluation of the terms and conditions of the arrangements, such as the lease term not constituting a major part of the economic life of the commercial property and the fair value of the asset, that it retains all the significant risks and rewards of ownership of these properties and accounts for the contracts as operating leases.

**B. Estimates and assumptions**

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively.

**i) Revenue from contracts with customers**

**• Determining method to estimate variable consideration**

Certain contracts for the transportation of goods include incentives or penalties, that give rise to variable consideration. In estimating the variable consideration, the Company is required to use either the expected value method or the most likely amount method based on which method better predicts the amount of consideration to which it will be entitled.

The Company determined that the expected value method is the appropriate method to use in estimating the variable consideration for the transportation of goods with incentives or penalties, given the large number of customer contracts that have similar characteristics.

**•Estimating number of days for application of percentage of completion method**

The Company records revenue by estimating the total number days the vehicle will take to deliver the goods. Number of days usually begin from the date of preparation of consignment note, to either actual delivery date or expected date of delivery agreed with customer.

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**ii) Taxes**

Deferred tax assets are recognised to the extent it is probable that taxable profits will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

Minimum Alternative Tax (MAT) is recognized as an asset only when and to the extent there is convincing evidence that the respective Company will pay normal income tax and will be able to utilize such credit during the specified period. In the year in which the MAT credit becomes eligible to be recognized as an asset, the said asset is created by way of a credit to the statement of profit and loss and is included in Deferred Tax Assets. The respective Company review the same at each balance sheet date and if required, writes down the carrying amount of MAT credit entitlement to the extent there is no longer convincing evidence to the effect that respective companies will be able to absorb such credit during the specified period. For further details about taxes refer note 9 and 24.

**iii) Defined benefit plans (gratuity and compensated absences benefits)**

The Company's obligation on account of gratuity and compensated absences are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, attrition rate and mortality rates. Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

The parameter most subject to change is the discount rate. In determining the appropriate discount rate, the management considers the interest rates of government bonds with term that correspond with the expected term of the defined benefit obligation.

The mortality rate is based on publicly available mortality tables. Those mortality tables tend to change only at interval in response to demographic changes. Future salary increases and gratuity increases are based on expected future inflation rates for the respective countries.

Further details about gratuity obligations are given in Note 27.

**iv) Provision for trade receivable**

Trade receivables do not carry any interest and are stated at their nominal value as reduced by appropriate allowances for estimated irrecoverable amounts. For the purpose of measuring the expected credit loss for trade receivables, the Company estimates irrecoverable amounts based on the ageing of the receivable balances and historical experience adjusted for forward-looking estimates. Individual trade receivables are written off when management deems them not to be collectible on assessment of facts & circumstances. For details of allowance for doubtful debts (refer note 6).

**v) Impairment of non-financial assets**

The carrying amounts of the Company's non-financial assets, other than deferred tax assets, are reviewed at the end of each reporting year to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

The recoverable amount of an asset or cash-generating unit ('CGU') is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU. For the purpose of impairment testing, assets that cannot be tested individually are Companyed together into the smallest Company of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or Company's of assets ('CGU').

Market related information and estimates are used to determine the recoverable amount. Key assumptions on which management has based its determination of recoverable amount include estimated long term growth rates, weighted average cost of capital and estimated operating margins. Cash flow projections take into account past experience and represent management's best estimate about future developments.

**vi) Provisions and Contingent liabilities**

Provisions and contingent liabilities are reviewed at each balance sheet date and adjusted to reflect the current best estimates. Evaluations of uncertain provisions and contingent liabilities and assets requires judgement and assumptions regarding the probability of realization and the timing and amount, or range of amounts, that may ultimately be incurred. Such estimates may vary from the ultimate outcome as a result of differing interpretations of laws and facts. Refer note 32 for further details about Contingent liabilities.

**vii) Fair value measurement of financial instruments**

When the fair values of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments. See note 29 for further disclosures.

**viii Useful life of Property, Plant and Equipment**

The useful life to depreciate property, plant and equipment is based on technical obsolescence, nature of assets, estimated usage of the assets, operating conditions of the asset, and manufacturers' warranties, maintenance and support period, etc. The charge for the depreciation is derived after considering the expected residual value at end of the useful life. The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed by the management at each financial year end and adjusted prospectively, if appropriate. Further details about property, plant and equipments are given in note 3.

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## 29 Fair value measurements

### a) The carrying value of financial instruments by category

| | As at 31 March 2024 | | As at 31 March 2023 | |
|---|---|---|---|---|
| | FVTPL | Amortised cost | FVTPL | Amortised cost |
| **Financial assets** | | | | |
| Trade receivables | - | 124.90 | - | 124.36 |
| Cash and cash equivalents | - | 12.26 | - | 17.31 |
| Bank balances other than cash and cash equivalents | - | - | - | 58.85 |
| Other financial assets [1] | - | 146.68 | - | 18.80 |
| **Total financial assets** | **-** | **283.84** | **-** | **219.32** |
| **Financial liabilities** | | | | |
| Trade payables | - | 24.46 | - | 4.36 |
| Other financial liabilities | - | - | - | 0.01 |
| **Total financial liabilities** | **-** | **24.46** | **-** | **4.37** |

(1) Included in other current / non-current financial assets.

### (b) Fair value hierarchy

This section explains the judgments and estimates made in determining the fair values of the financial instruments that are measured at amortized cost and for which fair values are disclosed in the financial statements. To provide an indication about the reliability of the inputs used in determining fair value, the Company has classified its financial instruments into the three levels prescribed under the accounting standard. An explanation of each level follows underneath.

### i) Assets and liabilities which are measured at amortised cost

| | Level 1 | Level 2 | Level 3 | Total |
|---|---|---|---|---|
| **As at 31 March 2024** | | | | |
| **Financial assets** | | | | |
| Trade receivables | - | - | 124.90 | 124.90 |
| Cash and cash equivalents | - | - | 12.26 | 12.26 |
| Bank balances other than cash and cash equivalents | - | - | - | - |
| Other financial assets | - | - | 146.68 | 146.68 |
| **Total financial assets** | **-** | **-** | **283.84** | **283.84** |
| **Financial liabilities** | | | | |
| Trade payables | - | - | 24.46 | 24.46 |
| Other financial liabilities | - | - | - | - |
| **Total financial liabilities** | **-** | **-** | **24.46** | **24.46** |
| **As at 31 March 2023** | | | | |
| **Financial assets** | | | | |
| Trade receivables | - | - | 124.36 | 124.36 |
| Cash and cash equivalents | - | - | 17.31 | 17.31 |
| Bank balances other than cash and cash equivalents | - | - | 58.85 | 58.85 |
| Other financial assets | - | - | 18.80 | 18.80 |
| **Total financial assets** | **-** | **-** | **219.32** | **219.32** |
| **Financial liabilities** | | | | |
| Trade payables | - | - | 4.36 | 4.36 |
| Other financial liabilities | - | - | 0.01 | 0.01 |
| **Total financial liabilities** | **-** | **-** | **4.37** | **4.37** |

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**Valuation technique used to determine fair value**

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale. The following methods and assumptions were used to estimate the fair values:
The fair values of the quoted investments traded in active market are determined by reference to quotes from the financial institutions; for example NAV for investment in mutual funds declared by mutual funds house.

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between knowledgeable and willing parties, other than in a forced or liquidation sale. The valuation techniques used to determine the fair values of financial assets and financial liabilities classified as level 2 include use of quoted market prices or dealer quotes for similar instruments and generally accepted pricing models based on a discounted cash flow analysis using rates currently available for debt on similar terms, credit risk and remaining maturities.
If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3.

There are no transfer of levels during the year.

As of 31 March 2024 and 31 March 2023 the fair value of cash and cash equivalents and bank balances, trade receivables, other current financial assets and liabilities, borrowings, trade payables approximate their carrying amount largely due to the short term nature of these instruments.

For other financial assets and liabilities that are measured at amortised cost, the carrying amounts approximate the fair value.

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**30 Financial risk management objectives & policies**

The Company's principal financial liabilities comprise trade and other payables. The main purpose of these financial liabilities is to provide finance to the Company to support its operations. The Company's principal financial assets include trade and other receivables, and cash and short-term deposits that derive directly from its operations.

The Company is exposed to credit risk, liquidity risk and market risk. The Company's senior and top management oversees the management of these risks. The Company's senior and top management ensures that the Company's financial risk activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with the Company's policies and risk objectives. The Company's senior management is supported by a Risk Management Policy adopted by the Board of Directors that advises on financial risk and appropriate financial risk governance framework for the Company. It is Company's policy that no trading in derivatives for speculative purposes may be undertaken. The Board of Directors review the policies periodically for managing each of these risks, which are summarized below.

**(A) Credit risk**

Credit risk refers to the risk of default on its obligation by the counter party resulting in a financial loss. The major exposure to the credit risk at the reporting date is from trade receivables and other receivables. The Company is also exposed to credit risk from deposits with banks and financial institutions and foreign exchange transactions.

**(i) Trade receivables and contract assets**

Credit risk refers to the risk of default on its obligation by the counter party resulting in a financial loss. Trade receivables and contract assets are typically unsecured and are derived from revenue earned through customers. Customer credit risk is managed by the Company subject to the credit policy, procedures and control relating to customer credit risk management. Credit to each customer is given based on its credit rating score. Outstanding customer receivables are regularly monitored in the receivable review committee for any expected default in repayment. An impairment analysis is performed at each reporting date on an individual basis for all customers. Trade receivables are non-interest bearing and are generally on 30 to 120 days' credit terms.

The Company follows a 'simplified approach' (i.e. based on lifetime Expected credit losses (ECL)) for recognition of impairment loss allowance on Trade receivables (including lease receivables). A large number of minor receivables are grouped into homogeneous groups and assessed for impairment collectively. For the purpose of measuring lifetime ECL allowance for trade receivables, the Company estimates irrecoverable amounts based on the ageing of the receivable balances and historical experience. The Company, based on past trends and age based provisioning policy of the Company, recognizes allowance for trade receivables. Further, allowance is also recognised for cases indicating any specific trail of credit loss within the ageing brackets mentioned above. The Company evaluates the concentration of risk with respect to trade receivables and contract assets as low, as its customers are located in several industries and operates in largely independent markets.

Individual trade receivables are written off when management deems them not to be collectible. Any subsequent recovery is recognized as Income in the Statement of profit and loss. Refer Note 6 for the carrying amount of credit exposure on trade receivables in the Balance Sheet date. There is no credit exposure on contract assets.

**Movement in expected credit loss allowance:**

| Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|
| At the beginning of year | - | 13.64 |
| Movement in provision during the year | - | (3.59) |
| Bad debts written off during the year | - | (10.05) |
| Total ECL | - | - |

**(ii) Financial Instruments & cash deposits**

Credit risk from balances with banks and financial institutions is managed by the Company's treasury department in accordance with the Company's policy. Investments of surplus funds are made only with approved counterparties and within Board assigned limits. Counterparty limits are reviewed by the Company's Board of Directors throughout the year subject to the recommendation of the Company's Management Committee. The limits are set to minimize the concentration of risks and therefore mitigate financial loss through counterparty's potential failure to make payments. The Company's maximum exposure to credit risk for the components of the balance sheet as at 31 March 2024 and 31 March 2023 on its carrying amounts as disclosed in notes 4, 7 and 8.

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**(B) Liquidity risk**

Liquidity risk is defined as the risk that the Company will not be able to settle or meet its obligations on time or at reasonable price. The Company's objective is to at all times maintain continuity of optimum levels of liquidity to meet its fund requirements. The Company closely monitors its liquidity position and maintains adequate source of financing through the use of cash credit facility, demand loans, vehicle refinance, unsecured loan. Processes and policies related to such risks are overseen by the Company's treasury department under guidance of the senior management. The Company has access to a sufficient variety of sources of funding and debt maturing within 12 months can be rolled over with existing lenders. The Company assessed the concentration of risk with respect to refinancing its debt and concluded it to be low. Besides debt, with the recent infusion of equity, there is sufficient liquidity to meet the financial liabilities in the foreseeable future.

**(i) Maturities of financial liabilities**

The maturity profile of the Company's financial liabilities based on contractual undiscounted payments is given in the table below:

**Contractual maturities of financial liabilities:**

| | On Demand | Less than 1 year | 1 to 5 years | Total |
|---|---|---|---|---|
| **31 March 2024** | | | | |
| Trade payables | - | 24.46 | - | 24.46 |
| Other financial liabilities | - | - | - | - |
| **Total** | - | **24.46** | - | **24.46** |
| **31 March 2023** | | | | |
| Trade payables | - | 4.36 | - | 4.36 |
| Other financial liabilities | - | 0.01 | - | 0.01 |
| **Total** | - | **4.37** | - | **4.37** |

**(C) Market risk**

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market prices comprises three types of risk: currency rate risk, interest rate risk and other price risks, such as equity price risk and commodity price risk. Financial instruments affected by market risks deposits, investments and foreign currency receivables and payables. The sensitivity analysis in the following sections relate to the position as at 31 March 2024 and 31 March 2023. The sensitivity analysis have been prepared on the basis that the amount of net debt, the ratio of floating to fixed interest rates of the debt and the proportion of financial instruments in foreign currencies are all constant in place at 31 March 2024. The analysis exclude the impact of movements in market variables on the carrying values of gratuity, pension obligation and other post-retirement obligations and provisions. The sensitivity of the relevant Profit and Loss item is the effect of the assumed changes in the respective market risks. This is based on the financial assets and financial liabilities held as of 31 March 2024 and 31 March 2023.

**(i) Foreign currency risk**

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The Company operates on very selective international destinations and is somewhat exposed to foreign exchange risk arising from foreign currency transactions, primarily with respect to the trade payables. Foreign exchange risk arises from future commercial transactions and recognised assets and liabilities denominated in a currency that is not the company's functional currency (INR). The Company's exposure to foreign currency risk at the end of the reporting year is Rs. Nil

**(ii) Interest rate risk**

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. There Company is exposed to risk of changes in borrowing rates. The Board continuously monitors the prevailing interest rates in the market.

**Sensitivity**

The Company do not have borrowings as at 31 March 2024 and 31 March 2023.

**31 Capital management**

**(a) Risk management**

For the purposes of the Company's capital management, Capital includes equity attributable to the equity holders of the Company and all other equity reserves. The primary objective of the Company's capital management is to ensure that it maintains an efficient capital structure and maximize shareholder value. The Company manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders or issue new shares. The Company is not subject to any externally imposed capital requirements. No changes were made in the objectives, policies or processes for managing capital during the year ended 31 March 2024 and 31 March 2023.

The Company monitors capital using net debt to equity ratio, which is net debt (as reduced by cash and cash equivalents) divided by total equity.

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| Net debt/net of cash and cash equivalents | (12.26) | (17.31) |
| Equity | 308.94 | 275.32 |
| Net debt to equity ratio | - | - |

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## 32 Contingent liabilities

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| Unpaid bonus (refer note i) | 0.66 | 0.66 |
| Claims against the Company not acknowledged as debts (refer note ii) | 3.15 | 3.15 |
| Bank guarantee outstanding (refer note iv) | 0.33 | 1.60 |

(i) Based on expert legal opinion obtained by the Company and stay orders from various High Courts across the country against the amendment to the Payment of Bonus Act to the extent that it gives retrospective effect from 01 April 2014, the statutory bonus for financial year 2014-15 amounting to Rs. 0.66 million has not been recognized and treated as contingent liability in this year as well as in previous year. The Company will remain vigilant to watch the actual Court proceeding and clarification / notification from the Central Government and will review the accounting impact as on 31 March 2024. The Company has been paying the Bonus taking into account the amendment effective from 01 April 2015 and Bonus taking the effect of amendment pertaining to F.Y. 2015-16 has already been paid and the same has been recognised for payment by way of provision pertaining to F.Y. 2016-17.

(ii) Based on the discussion with the solicitors / favourable decisions in similar cases / legal opinion taken by the Company, the management believes that the Company has a strong chance of success in the cases. However, the Company has a provision of Rs. 0.88 million as at 31 March 2024 (31 March 2023: Rs. 0.88 million) against these contingent liabilities as a matter of abundance caution.

iii) There are numerous interpretative issues relating to the Supreme Court (SC) judgement on PF dated 28 February 2019. As a matter of caution, the Company has made a provision on a prospective basis from the date of the SC order. The Company will update its provision, on receiving further clarity on the subject.

iv) Bank guarantee primarily pertains to performance guarantee given to various customers of the Company.

33 The Company has commitments, on account of contracts remaining to be executed which are entered into in the normal course of business. The Company does not have any other long term contracts including derivative contracts for which there will be any material foreseeable losses.

## 34 Leases

**Company as lessor:**

Leases for which the Company is a lessor is classified as finance or operating lease. Whenever the term of the lease transfer substantially all the risk and rewards of ownership to the lessee, the contract is classified as finance lease. All other lease are classified as operating lease.

For operating lease, rental income is recognised on a straight line basis over the term of the relevant lease. The Company has given certain commercial vehicle under operating lease arrangement, which are generally cancellable at the option of the company.

| | As at 31 March 2024 | As at 31 March 2023 |
|---|---|---|
| Rental income for the year | 3.00 | 3.00 |
| Gross block of leased assets | 15.33 | 14.02 |
| Depreciation provided during the year | 3.15 | 3.15 |
| Accumulated depreciation | 9.48 | 4.87 |
| Written down value of leased assets | 5.85 | 9.15 |

**Company as lessee:**

The following is the amount recognised in statement of profit or loss:

| Particulars | 31 March 2024 | 31 March 2023 |
|---|---|---|
| Expense relating to short term lease (Refer Note 23) | 0.49 | 0.52 |
| | **0.49** | **0.52** |

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**35. Ratios analysis and its elements**

| Particulars | Numerator | Denominator | As at 31 March 2024 | As at 31 March 2023 | % change from 31 March 2024 to 31 March 2023 | Reasons for variances |
|---|---|---|---|---|---|---|
| Current ratio | Current assets | Current liabilities | 5.63 | 40.20 | -86% | The significant increase in Trade payable has resulted in a increase in the company's current liabilities, which has had a positive effect on the current ratio |
| Debt-equity ratio | Total Debt | Shareholder's Equity | - | - | - | NA |
| Debt service coverage ratio | Earnings for debt service = Net profit after taxes + Non-cash operating | Debt service = Interest & Lease Payments + Principal Repayments | - | - | - | NA |
| Return on equity ratio | Net profits after taxes | Average shareholder's equity | 11.51% | 4.55% | 153% | The ratio has increased due to higher profit after tax in the current year |
| Inventory turnover ratio | Consumption of tyres, tubes and other | Average Inventory | - | - | - | NA |
| Trade receivables turnover ratio | Revenue from contracts with customers | Average trade receivable | 7.34 | 2.81 | 161% | The increase in revenue attributed to higher trade receivables turnover ratio |
| Trade payable turnover ratio | Cost of services + others expenses | Average trade payable | 60.64 | 69.17 | -12% | NA |
| Net capital turnover ratio | Revenue from contracts with customers | Working capital = Current assets – Current liabilities | 5.96 | 1.55 | 285% | The increase in current liabilities and decrease in current assets will resulting lowering working capital requirement thereby improvement in net capital turnover ratio |
| Net profit ratio | Net profit after taxes | Revenue from contracts with customers | 3.68% | 3.67% | 0% | NA |
| Return on capital employed | Earnings before interest and taxes | Capital employed = Tangible net worth | 15.59% | 6.25% | 149% | The ratio has increased due to higher profit after tax in the current year |
| Return on investment | Interest (finance Income) | Investment in fixed deposit with Banks | 6.38% | 4.21% | 52% | The increase in ratio is due to rise in interest rates on fixed deposits |

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S.R. Batliboi & Associates LLP New Delhi

**36 Other statutory information**

(i) The Company do not have any Benami property, where any proceeding has been initiated or pending against the Company for holding any Benami property under Benami Transaction (Prohibition) Act 1988 and rules made there under.

(ii) The Company do not have any transactions with companies struck off.

(iii) The Company do not have any charges or satisfaction which is yet to be registered with ROC beyond the statutory period.

(iv) The Company have not traded or invested in Crypto currency or Virtual Currency during the financial year.

(v) The Company have not advanced or loaned or invested funds to any other person(s) or entity(is), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:

(a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or

(b) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries

(vi) The Company have not received any fund from any person(s) or entity(is), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:

(a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or

(b) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries,

(vii) The Company have not any such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961

(viii) The Company has used the borrowings from banks and financial institution for the specific purpose for which it was taken. The Company has not been declared as wilful defaulter by any bank or financial institution or other lender.

(ix) The Company has filed quarterly returns/statement of current assets with banks and financial institutions and these are in agreement with books of accounts for the year ended 31 March 2024 and year ended 31 March 2023.

**37** The Company is using SAP (ECC) for maintaining its books of accounts which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software, except that audit trail feature was not enabled on certain fields and also at database level. Further, for subsystems relating to Revenue and Lorry hire expenses, audit trail feature was not enabled.
The management is in discussion with the vendor to ensure that audit trail is enabled going forward to comply with the requirement.

**38** Certain amounts (currency value or percentages) shown in the various tables and paragraphs included in these financial statements have been rounded off or truncated as deemed appropriate by the management of the Company.

As per our report of even date
**For S.R. Batliboi & Associates LLP**
Chartered Accountants
ICAI Firm Registration No: 101049W/E300004

per **Yogesh Midha**
**Partner**
Membership Number: 094941

Place: New Delhi
Date: 24 June 2024

For and on behalf of the Board of Directors
**Transrail Logistics Limited**

**Krishan Kumar Agarwal**
(Chairman and Managing Director)
DIN - 00151179

**Narender Kumar Agarwal**
(Director)
DIN-00052456

**Jachee Lee**
(Chief Financial Officer)

**Apoorva Kumar**
(Company Secretary)
FCS: 4905

Place: Gurugram
Date: 24 June 2024